# Elements of Accounting

⇒ There are five fundamental elements of accounting:

1. Assets
2. Liabilities
3. Capital / owner equity
4. income / revenue
5. Expenses

## Assets:

⇒ All the things which the business own's

⇒ Assets are the properties and possessions of a business both tangible and intangible.

⇒ These can be used to generate income or benefit the owner in the future.

example:

- Building
- Land
- machinary
- cash
- Investments
- Property

# Types of Assets

## 1. Fixed Assets:

⇒ All the things which remain in business for long term and help in income generation.

In other words:

⇒ Are the company's long term investments in property, plant and equipment.

⇒ These are essentials for business operations but are not expected to be converted into cash within a year.

e.g; Building, land, machinery, vehicles, furniture, and computer equipment.

## 2. Current Assets:

⇒ Are assets that can be easily converted into cash within a year. They are essential for company's day-to-day operations.

ex:

- Cash
- Cash equivalents
- Accounts receivable
- Inventory
- Prepaid expenses

## Liabilities:

⇒ These are obligations or debts owed by a business to others.

⇒ It is like borrowing money from a friend or buying something on credit and having to pay it back later.

example:

⇒ loans, accounts payable, salaries payable.

⇒ Someone by a new TV on credit. He agree to pay the store in installments over six months.

- The money someone owe the store for the TV is a liability.
- Someone is the debtor in this case.
- The store is the creditor.

## Capital / owner equity:

⇒ Capital is the amount that person invest in business.

⇒ It is the source of funds provided by the owner/owners of the business.

⇒ Owner equity represents the owner's claim on the business's assets after deducting liabilities.

⇒ Includes capital invested, retained earnings & drawings.

ex: Cash, investments, loans etc.

## Income/revenue:

### Income:

=> Income is the amount of money a business earns after deducting all expenses from its revenue.

=> it is net profit or bottom line.

=> In simple, is the money left over after paying all costs.

### Revenues: -inflow of cash

=> it is the price of goods sold or services provided by a business to its customer.

=> it is the total amount of money a business generates from its core operations.

=> Total sales made by a company.

ex:

Commission earned, Sales, rent earned, received etc.

fees earned, interest earned, sales

example: Hira has a small bakery

Revenue:

=> She sell 100 loaves of bread at $3 each.

=> Total revenue is $300. This is the total amount of money she made from selling breads.

Income:

- Subtract expenses from revenue.

Income = Revenue − expenses

= 300 − 150

$\boxed{\text{Income} = \$150}$

## Expenses:

=> are the costs incurred of goods and services used up to earn revenue or sales. Always decrease in owner's equity

In other words:-

=> Simply the money a business spends to run its operations. it is like costs of doing business. Also called cost of doing business

=> They represent outflow of money to

- Support business activities.

e.g. ◦ Rent ◦ Salaries ◦ utilities ◦ Depreciation ◦ Advertising ◦ Insurance ◦ Office supplies

- Travel expenses
- Legal fees
- Interest expense
- Electricity

Direct expense ← which are related with the purchase of goods e.g freight, wages, carriage inward

## Types of Expenses

1. Operating expenses:

⇒ Directly related to the core business operations.

examples:

Rent, salaries, utilities, advertising, office supplies

2. Non-Operating expenses:

⇒ Not directly to core business operations.

examples:

- interest expense
- loss from sale of assets
- income taxes.

3. Cost of Goods Sold (COGS): → direct costs of producing the goods sold by a company

⇒ The direct costs associated with producing or acquiring goods for sale.

examples:

Raw materials, labor, manufacturing overhead.

## Costs VS Expenses:

- All expenses are costs, but not all costs are expenses.
- Costs refer to the monetary value of assets used in business operations.

## Profits:

⇒ is what is left of the income after all expenses.

⇒ is the money a business makes after paying all its expenses.

profit = Revenue − expenses
(Revenue ↓ sale)

example:

- if Anam sell lemonade for 1$ a cup and its costs $0.50 to make each cup, Profit is $0.50 per cup.

## Sales:

⇒ Activity of a business in which business offers some products or services to their customers against money known as selling.

⇒ Sales is about convincing someone to buy something from you.

**example:**
Product: Anam bake delicious bread.
Customer: A person walks into bakery.
Sale: Convince the customer to buy bread by explaining its freshness taste used.

⇒ This is simple example of sale.

## Cash System of Accounting:

⇒ It is a system in which accounting entries are made only when cash is received or paid; whether they are related to current year or not.

⇒ Financial transactions are recorded only when cash is received or paid out.

⇒ Does not record every transaction.

**example:**
A business sells a product for $100 on credit. Under cash accounting, the revenue is not recorded until customer pays the $100 in cash.

⇒ Used for small businesses with limited transactions.

## Accrual accounting system:

⇒ It is a system in which accounting entries are made only the basis of amount having become due for payment or receipt.

⇒ Accrual accounting is an accounting method that records revenue when earned and expenses when incurred, regardless of when cash is actually received or paid. Relating to the current accounting Period.

**example:**
⇒ A customer buys $5 glasses of lemonade for $10 but promises to pay next week. In accrual system, $10 write down as income, even does not have the cash.

## Debtors / Accounts Receivable: (جن کو ادھار پر چیزیں بیچیں)

⇒ Debtors are the persons or customers to whom goods have been sold on credit basis and from whom the business is to receive money in near future. These are also known as Accounts Receivable.

⇒ A person who owes money to someone else.

(جس کو ادھار دوا ہیں کرنا ہی)

## Creditors / Account payable:-

⇒ Creditors are the persons or customers to whom goods have been purchased on credit basis and to whom the business is to pay money in near future.

⇒ These are also known as "Accounts payable."

⇒ it's considered a liability on a company's balance sheet because it represents a debt the company owes.

⇒ A creditor is someone who has lent money or provided goods or services on credit and is waiting to be paid back.

## Separate entity Concept:

⇒ According to this concept business is treated as a separate entity from its owners.

⇒ This means the business financial records should be kept distinct from the personal financial records of the owner.

⇒ it accurately measure the business's performance and financial position.